

Table 6.1 (Continued)

Traditional Finance Problem	MakerDAO Solution
<i>Limited access:</i> Obtaining loans is difficult for a large majority of the population.	Open ability to take out DAI liquidity against an overcollateralized position in any supported ERC-20 token. Access to a competitive USD-denominated return in the DSR.
<i>Inefficiency:</i> Acquiring a loan involves costs of time and money.	Instant liquidity at the push of a button with minimal transaction costs.
<i>Lack of interoperability:</i> Cannot trustlessly use USD or USD-collateralized token in smart contract agreements.	Issuance of DAI, a permissionless USD-tracking stablecoin backed by cryptocurrency. DAI can be used in any smart contract or DeFi application.
<i>Opacity:</i> Unclear collateralization of lending institutions.	Transparent collateralization ratios of vaults visible to entire ecosystem.

Compound

Compound is a lending market that offers several different ERC-20 assets for borrowing and lending. All the tokens in